GCC term sheets look different this quarter. Debt is showing up before equity.

Old assumption: raise equity, valuations climb, the next mark just needs a good story. That stopped working.

Founders are reaching for debt first. Not to play safe. Because defending a number got too expensive.

No mark to defend. Ownership stays intact. Cap table stays clean. The lender underwrites cash flow, not a narrative.

The capital that lends first gets the best seat at the next equity round: information rights, relationship, first call.

Founders chasing valuation optimize for a headline. Capital chasing the first lending relationship builds for the next ten years. More in the link.

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